Woori Financial Group (316140 KS)

Steepest improvement in total shareholder return ratio in 2026

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BUY (M)

Target price	W44,500 (M)
Previous target price	W44,500
Current price (Oct 28)	W29,900
Upside potential	49%

Market cap (Wbn)	22,030
Shares outstanding	736,729,188
Avg daily T/O (2M, Wbn)	81
Avg daily volume (2M, shrs)	2,421,069
52-week high/low (won)	40,800 / 25,400
Foreign ownership (%)	51.43%
Dividend yield (%)	3.90%
Major shareholders	Woori Financial Group Employee Stock Ownership & other

Stock performance

(%)	1M	3M	12M
Absolute	(17.9)	(5.8)	15.4
Relative	(5.9)	(5.7)	(23.0)
Abs (US$)	(16.2)	3.0	24.1

3Q26 net profit beats consensus

Woori Financial Group posted 3Q26 net profit attributable to controlling interest of W1.05tn, beating consensus by 8.2% on lower credit costs. Group interest income rose 1.7% QoQ as bank won-denominated loans grew 1.5% despite a 7bp drop in bank NIM from higher funding costs due to preemptive funding. Group non-interest income was relatively solid, falling 7.6% QoQ on base effect from W20bn in forex losses and W43bn in changes to actuarial assumptions at the insurance subsidiary in 2Q26, as well as W141bn in forex gains from won appreciation in 3Q26. SG&A costs climbed 1.2% QoQ on securities subsidiary infrastructure build-out costs. Provisions fell 28.5% QoQ on base effect from W44bn in provisions related to JoongAng Group in 2Q26 and sound asset quality management.

CET-1 ratio came to 13.80%, improving 8bp QoQ, reflecting contributions of +43bp from net profit, +10bp from RWA (forex rate decline and asset growth -3bp, eased operational risk +13bp), -11bp from shareholder returns, and -34bp from OCI changes. There was a temporary RWA increase issue in 3Q26 that was resolved in October, with this impact accounting for 15bp. Adjusting for this, effective CET-1 ratio comes to 13.95%.

3Q26 DPS of W220 announced, 4Q26 DPS estimated at W840

The firm's 3Q26 DPS came to W220, and full-year DPS is projected to grow 10% annually under its corporate value-up plan. The 2026 total shareholder return ratio is projected at 44.4%, with a total shareholder yield of 6.6% (dividends 5.0%, share buybacks 1.6%). Woori Financial Group implemented tax-exempt dividends starting this year, and the effective total shareholder return ratio including the tax-exempt dividend effect stands at around 50.5%.

Maintain BUY and target price of W44,500

We maintain BUY and our target price of W44,500. The CET-1 ratio is being well managed above 13% even when excluding the +60bp boost from 1Q26's asset revaluation. Given the company's relatively low shareholder return ratio, the pace of improvement should be steep (36.6% in 2025, 44.4% in 2026E; +7.7%p)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	2,958	6.6	-0.2	3,009	-1.7
SG&A expense	1,225	1.1	1.2	1,249	-2.0
Provisions	314	-45.3	-28.5	438	-28.3
OP	1,419	43.7	7.9	1,322	7.3
Consolidated NP	1,080	-16.4	5.2	999	8.1
NP, CI	1,049	-15.7	4.4	970.0	8.2

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024E	2025E	2026E	2027E
Net op revenue	10,440	10,955	11,545	12,024
OP	4,254	3,689	4,409	4,696
NP, CI	3,086	3,141	3,265	3,319
P/E (x)	3.7	6.5	6.5	6.3
P/B (x)	0.38	0.64	0.59	0.55
ROE (%)	9.4	9.0	8.6	8.2
ROA (%)	0.60	0.56	0.5	0.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

3Q26 earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs consensus	YoY	QoQ	3Q25	2Q26
Net op	2,958	3,009	-1.7	6.6	-0.2	2,773	2,965
OP	1,419	1,322	7.3	43.7	7.9	988	1,316
Net profit, CI	1,049.2	970.0	8.2	-15.7	4.4	1,244	1,005

Note: CI = controlling interest
Source: company data, Yuanta Securities

Earnings forecast (consolidated)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	2,610	2,789	2,773	2,783	2,758	2,965	2,958	2,865	10,955	11,545
Net interest income	2,252	2,262	2,218	2,300	2,324	2,336	2,376	2,385	9,032	9,421
Non-interest income	358	527	555	483	434	629	581	480	1,923	2,124
Commission income	511	522	564	563	577	702	619	540	2,161	2,438
Other non-interest income	-154	5	-8	-80	-143	-73	-38	-60	-237	-314
SG&A expense	1,306	1,173	1,211	1,491	1,423	1,210	1,225	1,548	5,182	5,406
Pre-provisioning OP	1,303	1,616	1,562	1,292	1,335	1,755	1,733	1,317	5,774	6,140
Provisioning	436	508	574	567	527	439	314	450	2,085	1,730
OP	868	1,108	988	725	808	1,316	1,419	867	3,689	4,409
Non-operating profit	-5	78	542	-189	40	3	4	5	426	52
Pre-tax profit	863	1,186	1,530	535	848	1,318	1,423	872	4,115	4,461
Consolidated net profit	654	940	1,292	359	639	1,026	1,080	632	3,244	3,378
Consol. net profit (CI)	616	935	1,244	345	604	1,004.6	1,049	607	3,141	3,265
Won-denominated loan growth (bank)	-1.0	0.7	0.5	0.1	0.7	1.9	1.5	0.9	0.3	5.0
Portion of non-interest income	13.7	18.9	20.0	17.4	15.7	21.2	19.7	16.8	17.6	18.4
NIM (bank)	1.44	1.45	1.48	1.49	1.51	1.51	1.43	1.44	1.46	1.47
CIR	50.1	42.1	43.7	53.6	51.6	40.8	41.4	54.0	47.3	46.8
CCR	0.45	0.53	0.58	0.57	0.52	0.42	0.30	0.43	0.52	0.41
NPL ratio	0.69	0.71	0.70	0.63	0.68	0.73	0.72	0.71	0.6	0.7
NPL coverage ratio	132.7	127.0	130.0	129.2	124.8	112.9	112.7	112.7	129.2	112.7
CET-1	12.45	12.82	12.95	12.89	13.60	13.72	13.80	13.55	12.89	13.55
ROE	7.3	11.0	14.3	3.9	6.5	10.5	10.8	6.2	9.0	8.6
ROA	0.5	0.7	0.9	0.2	0.4	0.6	0.7	0.4	0.6	0.5
Equity	33,727	34,175	35,356	36,034	38,008	38,885	39,178	39,648	36,034	39,648
Asset	532,698	534,113	586,956	601,473	612,585	635,179	636,014	647,173	601,473	647,173

Note: CI = controlling interest,
Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Oct 7, 2026)	New (Oct 29, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	9.2	9.3	
Risk-free rate	(a)	%	3.3	3.4	1-year monetary stabilization bond's recent 3-mo avg
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.9	0.9	104-week adjusted beta
Ri	(d)	%	1.5	1.6	Reflected additionally given past COE level
Average ROE	(B)	%	8.1	8.2	2026-2028 average ROE
Permanent growth	(D)	%	4.6	4.5	Min (ROE x retention ratio, 30-yr KTB's recent 3-mo avg)
Target P/B	(A=(B-D)/(C-D))	x	0.76	0.78	
12mo-fwd BPS	(E)	won	58,589	57,458	
Target price	(A*E)	won	**44,500**	**44,500**	
Current price (Oct 28)		won		28,850	
Upside potential		%		54.2	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net op revenue	11,625	11,880	11,545	12,024	-0.7	1.2
OP	4,387	4,640	4,409	4,696	0.5	1.2
Net profit, CI	3,222	3,308	3,265	3,319	1.3	0.3

Note: CI = controlling interest,
Source: company data, Yuanta Securities

Woori Financial Group (316140 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	8,886	9,032	9,421	9,712	9,989
Interest income	22,013	21,190	22,552	24,195	24,972
Interest expense	13,127	12,158	13,110	14,483	14,983
Non-interest income	1,554	1,923	2,124	2,313	2,464
Net commission	2,086	2,161	2,438	2,433	2,554
Other non-interest	-532	-237	-314	-120	-90
Net operating revenue	10,440	10,955	11,545	12,024	12,453
Selling and admin expense	4,469	5,182	5,406	5,623	5,846
Pre-provision operating profit	5,971	5,774	6,140	6,402	6,607
Provisions	1,717	2,085	1,730	1,706	1,701
Operating profit	4,254	3,689	4,409	4,696	4,906
Non-operating profit	-31	426	52	20	20
Pre-tax profit	4,223	4,115	4,461	4,716	4,926
Income tax	1,050	871	1,083	1,297	1,355
Tax rate	24.9	21.2	24.3	27.5	27.5
Consolidated net profit	3,172	3,244	3,378	3,419	3,571
Controlling interest	3,086	3,141	3,265	3,319	3,471
Non-controlling interest	86	103	113	100	100

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	27,281	38,500	38,530	40,480	42,629
Securities	89,952	138,528	139,796	146,872	154,668
Loans	398,472	412,523	450,476	473,071	496,696
Tangible and intangible assets	4,462	4,837	6,964	6,937	6,935
Other	5,586	7,085	11,408	12,572	15,095
Assets	525,753	601,473	647,173	679,931	716,022
Deposits	366,821	376,581	384,369	404,022	426,079
Borrowings	78,324	89,767	103,513	108,805	114,745
Other	44,713	97,249	118,128	124,054	130,249
Liabilities	489,858	563,596	606,010	636,880	671,073
Equity, controlling interest	34,097	36,034	39,648	41,536	43,434
Capital stock	3,803	3,803	3,846	3,846	3,846
Hybrid bond	3,810	3,710	3,910	3,910	3,910
Capital surplus	934	933	1,367	1,367	1,367
Retained earnings	26,951	28,807	30,726	32,614	34,512
Other comprehensive income	-1,401	-1,219	-202	-202	-202
Equity, non-controlling interest	1,798	1,842	1,516	1,516	1,516
Equities	35,895	37,876	41,164	43,051	44,950

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	1.44	1.46	1.47	1.42	1.38
ROE	9.4	9.0	8.6	8.2	8.2
ROA	0.6	0.6	0.5	0.5	0.5
CIR	42.8	47.3	46.8	46.8	46.9
Asset growth	5.6	14.4	7.6	5.1	5.3
Loan growth	6.8	3.5	9.2	5.0	5.0
Net profit growth	23.1	1.8	4.0	1.7	4.6

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	4,157	4,279	4,455	4,591	4,869
BPS	40,788	44,037	48,764	52,049	55,442
DPS	1,200	1,360	1,500	1,650	1,825
P/E	3.7	6.5	6.5	6.3	5.9
P/B	0.4	0.6	0.6	0.6	0.5
Dividend payout ratio	28.9	31.8	33.6	36.1	37.6
Dividend yield	7.8	4.9	5.2	5.7	6.3

Adequacy indicators (%)

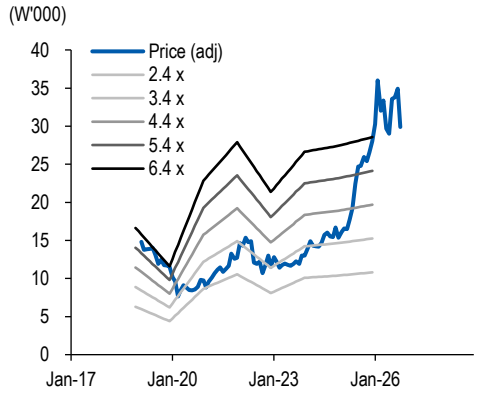
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	15.7	16.1	16.2	16.1	16.0
Tier 1 capital ratio	14.2	14.8	15.2	15.1	15.1
CET1 capital ratio	12.1	12.9	13.6	13.6	13.6

Asset quality indicators (x, %)

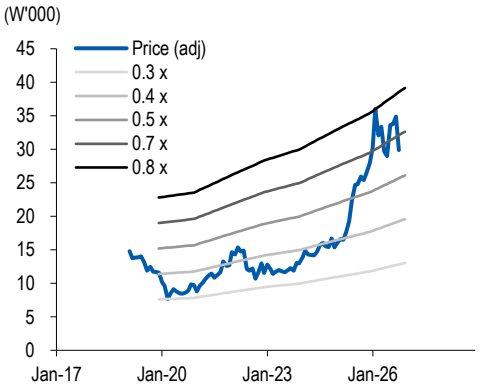
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	0.6	0.6	0.7	0.7	0.6
NPL coverage ratio	153.0	129.2	112.7	117.5	122.7
CCR	0.45	0.53	0.42	0.40	0.38

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

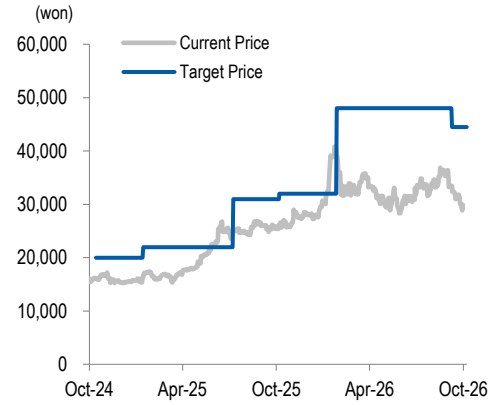
P/E band chart



P/B band chart



Woori Financial Group (316140 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/29	BUY	44,500	1 yr		
2026/10/07	BUY	44,500	1 yr		
2026/02/24	BUY	48,000	1 yr	-31.87	-18.75
2025/11/04	BUY	32,000	1 yr	-9.05	27.50
2025/08/06	BUY	31,000	1 yr	-17.81	-13.39
2025/02/11	BUY	22,000	1 yr	-12.06	21.59
2024/11/11	BUY	20,000	1 yr	-20.58	-14.00
	Analyst changed				
2024/03/11	BUY	18,000	1 yr	-20.81	-15.06

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 29, 2026

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Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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